

Ch-02
Monte CARLO METHOD.

Monte carlo method: The Monte-carlo method is a way to solve problems by using random examples to guess the chances of different results.

→ Is a way to simulate real-life uncertainty using random numbers to understand how a system behaves.

→ Monte-carlo helps when-

- Things are random.
- Exact formulas are hard or impossible.

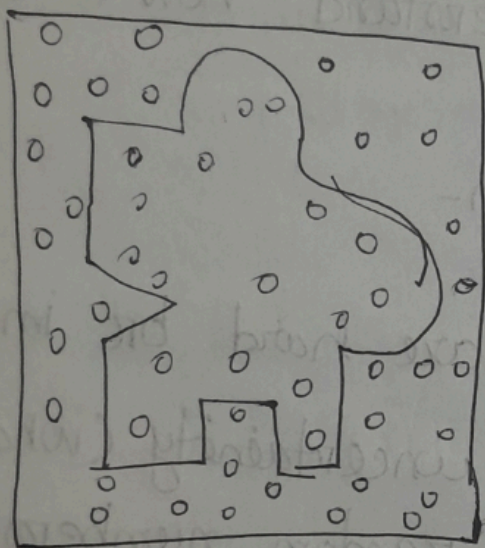
→ Core Idea -

1. Identify uncertainty (what is random)
2. Generate random numbers.
3. Repeat many times & analyze results.

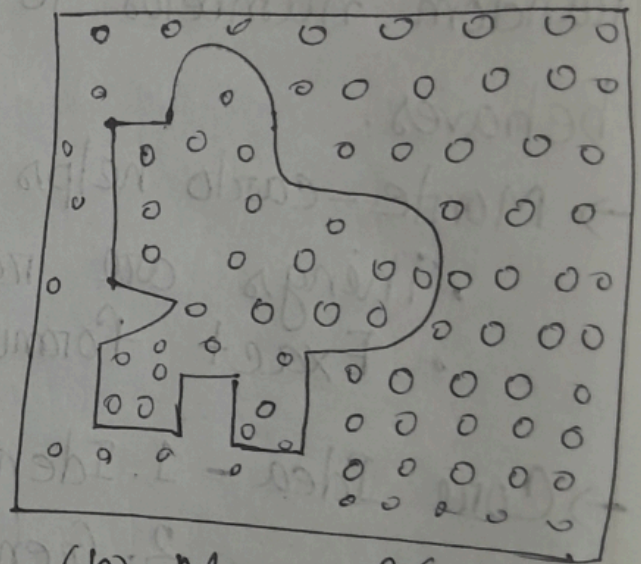
(Example-2.1) : Calculate the Area of an

Irregular Figure using Monte Carlo method

1. Enclose the Irregular figure in a known regular shape.



$$(a) \frac{M}{N} = \frac{17}{50}$$



$$(b) \frac{M}{N} = \frac{26}{84}$$

N = Total number of random points generated inside the square

M = no. of points lying inside the irregular figure.

Random points are generated using random numbers between 0 & 1.

→ The square side is gem . the coordinate of each random points are calculated as.

$$\mathcal{X} = \mathbb{R}_X \times \mathcal{Y}$$

$$y = \pi y \times 9$$

π_x & π_y are random numbers between 0 & 1.

Let, random numbers. 0.96 0.42 0.71 0.15 0.0

Let, random numbers. 0.96 0.42 0.71 0.15 0.0

Point-1. $x_1 = 0.96 \times 9 = 8.64$

$$y_1 = 0.42 \times 9 = 3.78$$

part 2, $x_2 = 0.71 \times 9 = 6.39$

$$y_2 = 0.13 \times 9 = 0.99$$

Point 3 $x_3 = 0.05 \times 9 = 0.45$.

$$y_3 = 0.30 \times 9 = 2.7$$

Each point is plotted inside the square.

- Each generated point is examined :
- If the point lies inside the irregular shape, it is counted.
 - If it lies outside, it is ignored.

Monte Carlo area relation.

$$\frac{\text{Area of irregular figure}}{\text{Area of square}} \approx \frac{M}{N}$$

$$\frac{F}{A} = \frac{M}{N} \Rightarrow F = \frac{M}{N} \times A$$

$$\text{For fig-a, Area ratio} = \frac{M}{N} = \frac{17}{50} = 0.34$$

it's far from True value =

Given, True value = 0.3126.

$$\text{For fig-b} \Rightarrow \text{Area ratio} = \frac{M}{N} = \frac{26}{84} = 0.3095$$

which is closer.

$$A = 9 \times 9 = 81 \text{ cm}^2$$

$$\therefore F = 0.3095 \times 81$$

$$= 25.07 \text{ cm}^2$$

~~Error~~, Larger the number of points, more accurate will be the result. mean,

As monte carlo depends on random numbers to generate results so smaller points - & random updown effect (বিশিষ্ট থাকে)। If we take larger points $\Rightarrow$ average - & কত দায় হবে; true value $\Rightarrow$ অনুমানিত আসে।

Error:- Error $\propto \frac{1}{\sqrt{N}}$

Error decrease slowly
Doubling N does not
have error.

$$\Rightarrow \frac{1}{\sqrt{N_{\text{new}}}} = \frac{1}{2} \times \frac{1}{\sqrt{N_{\text{old}}}}$$

$$\Rightarrow \sqrt{N_{\text{new}}} = 2 \sqrt{N_{\text{old}}}$$

$$N_{\text{new}} = 4 N_{\text{old}}$$

$\Rightarrow$ mean, If we want to Error half we have to increase N 4 times.

$\rightarrow$ To gain one additional correct decimal digit, N must be increased 100 times.

Then slow that Monte carlo method converge slowly.

Example-2.2-A) Gambling Game -

Let us consider a game in which an unbiased coin is repeatedly flipped. For each flip you have to pay Rs. 1. When the difference between heads tossed & tails tossed becomes 3, you get Rs. 8. If the required difference is obtained in less than 8 flips, you win some money & if it is in more than 8 flips you lose.

When a coin is flipped, the probability of head or tail is same that is 50%, but there are 10 possible one digit random numbers.

Let half of these (0, 1, 2, 3, 4) can be taken for Head, & the remaining half (5, 6, 7, 8, 9) for the Tail.

Let simulate some game in table.

Game No-0	SL No	RN	Head or Tail	Cumulative		Difference.
				Head	Tail	
1	1	5	T	0	1	1.
	2	9	T	0	2	1.
	3	3	H	1	02	1.
	4	6	T	1	3	2.
	5	4	H	2	3	1.
	6	8	T	2	4	2.
	7	6	T	2	5	3.

Game No-2	1	8	T	0	1	Win Re. 1
	2	1	H	1	1	1
	3	6	T	1	2	0
	4	4	H	2	2	1.
	5	3	H	3	2	0
	6	7	T	3	3	1.
	7	8	T	3	4	2
	8	5	T	3	5	1.
	9	2	H	4	5	2
						Loss Re 1

In the first game - coin flipped = 7.

Cost = Rs. 1.

Total cost = $7 \times 1 = \text{Rs. } 7$.

win = Rs. 8.

get = $8 - 7 = \text{Rs. } 1$. gain

But monte carlo says $\rightarrow$ खूबसूरत नौ (नौ) let simulate so many times.

$\rightarrow$ so in 7 game let's.

Game

flipped coin to win/loss

1

7

2

9

3

5

4

11

5

11

6

9

7

7

Total cost $\rightarrow$ Total flip = $7 + 9 + 5 + 11 + 9 + 7$
 $= 59$.

$\therefore$ Total cost = $59 \times 1 = 59$.

Total reward.

Per game = Rs. 8.

total $n = 7$

= $8 \times 7 = \text{Rs. } 56$. (Total reward).

$$\therefore \text{Win / Loss} = 59 - 56 = 3$$

$\therefore$ Los Rs. 3.

$$\rightarrow \text{Average} \rightarrow \frac{59}{7} = 8.43$$

$\therefore$ So Per game total flip need 8.43.

total cost = Rs. 8.43

But reward = Rs. 8

$$\text{Average loss} = 8 - 8.43 = 0.43$$

$\rightarrow$ If the simulation is continued over a sufficiently long period that is for a large number of trials, the estimate close to the true mean can be obtained. which in this case 9 flips for each game * cost = Rs. 9. Rew = Rs. 8.

Average loss = Re. 1 Per game

(Example-2.3) let consider a single variable function-

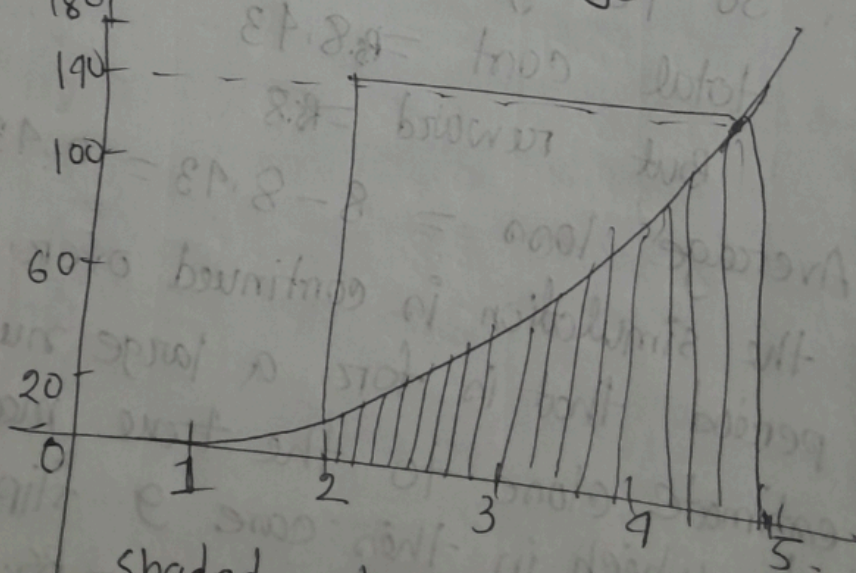
$$I = \int_2^5 x^3 dx$$
$$= \int_a^b f(x) dx$$

$$I = \left[\frac{x^4}{4} \right]_2^5$$

$$= \frac{5^4 - 2^4}{4} = \frac{625 - 16}{4} = 152.25$$

$$f(x) = x^3$$

$$x=2 \text{ to } x=5$$



Shaded value shown the value of the integral. Let this area be enclosed in a

rectangle ABCD. whose area is known

$$(140 \times 3) = 420 = A$$

$$\text{width} = 5 - 2 = 3.$$

$$y = x^3 = 5^3 = 125.$$

$$\text{Height} = 140.$$

The ratio of the shaded area I to the area A of rectangle ABCD is M to N.

$$I = \frac{M}{N} \cdot A$$

(Larger the value of N - more accurate the value of result).

To mark a random point we need two random numbers to generate the two co-ordinate x & y. Let us take two digit random numbers between 20 & 50. to represent the x co-ordinate.

→ Random N = 20 to 50 But we need x = 2 to 5.

$$\text{So, } \frac{5-2}{50-20} = \frac{3}{30} = 0.1$$

$$\text{So, } \left[\begin{array}{l} x = 0.1 \pi \\ \pi = \text{random number} \end{array} \right]$$

→ To generate y co-ordinate take random numbers between 0 & 1, & multiply it by the height of the rectangle of ABCD.

$$f(x) = x^3$$

Now check if $y \leq x^3$; If so the point lies below the curve. have $y \leq x^3$ is added to M. N = no. of trials.

→ $y \leq f(x)$ curve-এ নিচে না উঠে, if $y \leq f(x)$ then point curve-এ নিচে if $y > f(x)$ curve-এ উপরে.

R/N	$x_{\Delta\pi}$	R/N(u)	$y = 140x$	x^3	M	N
22	2.2	.57	79.8	10.65	0	1
25	2.5	.18	25.2	15.63	0	2
27	2.7	0.00	0.0	19.68	1	3
45	4.5	.90	126.0	91.13	0	4
48	4.8	.42	58.8	110.82	2	5
40	4.0	.77	107.8	64.00	0	6
						7
						8
					8	20

$$\therefore I = \frac{8}{20} \times A = \frac{8}{20} \times 420 = 168.00$$

Actual value of Integral = 152.25

By increasing the no. of points value of I quite close to the actual value. can be obtained & then larger number of points can be generated by a

(2017-18) Define Monte Carlo method. Solve the integral

$$I = \int_2^5 x^3 dx \text{ by Monte Carlo } \dots \text{ [Use Random}$$

Number 22, 25, 18, 45, 15, 27, 48, 43, 40, 47 for x]

& (.57, .18, .00, .90, 0.05, 0.77, .66, .10, .76, .42)
for y .

(Example-2.4) Determination of value of π by Monte Carlo. $\pi = 3.1416$.

→ The value of π can be determined by using the relation for area of a circle.

∴ Area of a circle = πr^2 .

Area of a quadrant = $\frac{\pi r^2}{4} = \frac{\pi}{4}$.

$r=1$

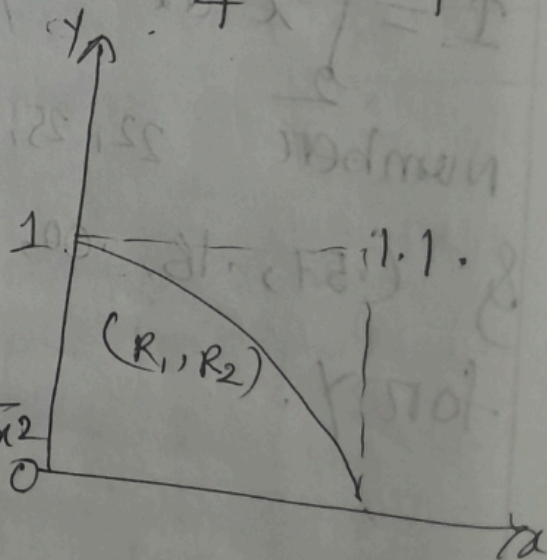
→ Quadrant - its equation

$= x^2 + y^2 = 1$

If In → $x^2 + y^2 \leq 1$.

$y^2 \leq 1 - x^2 \Rightarrow y \leq \sqrt{1 - x^2}$

out → $x^2 + y^2 > 1$.



→ $x^2 + y^2 = 1 \rightarrow ?$ Circle - its equation - (any point (x, y) यदि origin (यह Distance r से, उत्तर,
 $\text{Dist} = \sqrt{x^2 + y^2}$

$$x = R_1$$
$$y = R_2$$

$$x^2 + y^2 < 1.$$

$$\Rightarrow y^2 \leq 1 - x^2 \Rightarrow y \leq \sqrt{1 - x^2}$$

circle = যেসব point-এর origin থেকে Dist equal r .

$$\sqrt{x^2 + y^2} = r.$$

$$\Rightarrow x^2 + y^2 = r^2 \cdot 0.8 = 4 \times 0.8$$

$$\therefore x^2 + y^2 = 1$$

→ quadrant আছে square-এর মত, $A_{\text{square}} = 1 \times 1 = 1$ so $\times$

$$R_1 = \text{random} \times (0, 2\pi)$$
$$R_2 = \text{Random y} \quad (0, 1) \quad (2\pi, 1)$$
[illegible]

$$\frac{\pi}{4} = \frac{M}{N} \times A = \frac{31}{40} \times 4$$

$$\therefore \pi = \frac{31}{40} \times 4 = 3.10$$

why? N বড়ালে accuracy বাড়ে -

- Random fluctuation কমে
 - Monte Carlo Law Large number-এ
- শুধু বলে,

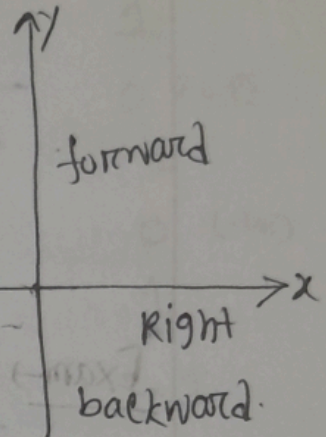
The accuracy of the result can be increased by increasing the number of points (N).

(2.5) Random walk problem $\rightarrow$. A drunkard moves.

using single digit random numbers. $\rightarrow$.

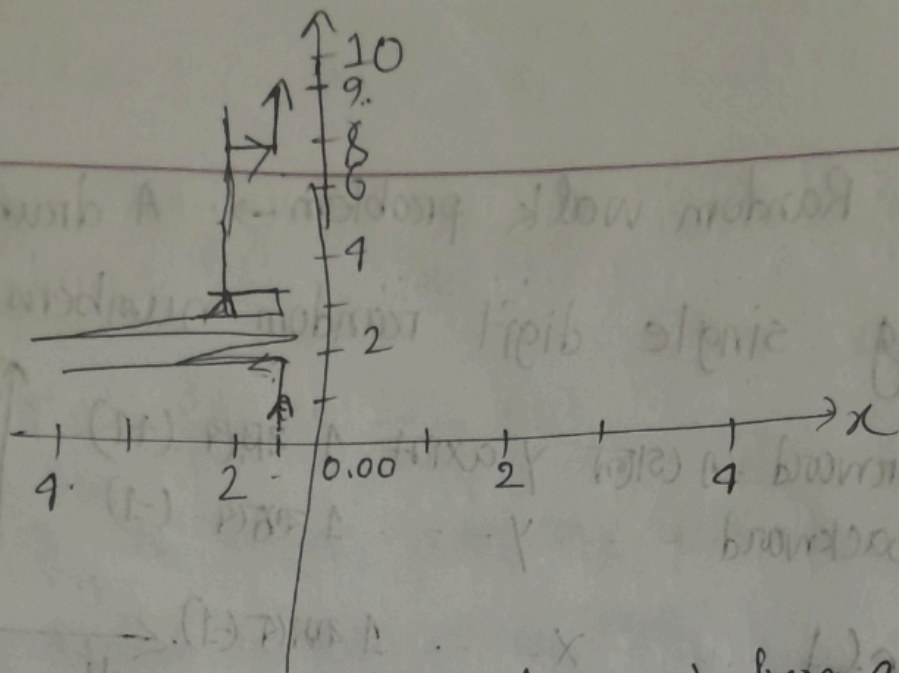
$\rightarrow$ Forward to (start) y-axis 1 2 3 4 (+1)
Backward - - - y - - - 5 6 7 (-1)

$\rightarrow$ Left - - - x - - - 1 2 3 (-1)
Right - - - x - - - 4 5 6 (+1)



Direction	Given Probab.	R/N.
Forward (F):	0.5 (50%)	0, 1, 2, 3, 4, 5
Left (L):	0.3 (30%)	6, 7
Right (R):	0.2 (20%)	8, 9

step	R/N	Dir	Pos	
			x	y
1	6	L	-1	0
2	2	F	1	1
3	0	F	-1	2
4	6	L	-2	2
5	6	L	-2	2
6	8	R	-1	2
7	5	L	-2	2
8	4	F	-1	3



Exam → (2019-20) A drunkard moved from a point to a destination & takes step in four directions, backward, forward, right, left.

Given,

<u>Dir</u>	<u>Pr</u>	<u>Prob</u>	<u>R/N</u>
Forward (F)	50%	0.5	1 - 80cm
Backward (B)	10%	0.1	1 - 30cm
Left (L)	25% 25%	0.25	31 - 40cm
Right (R)	15% 15%	0.15	41 - 60cm

(back, for, Right, Left - 30cm, 80cm, 60cm, & 40cm)

forward → y++
 back → y--
 Right → x++
 Left → x--

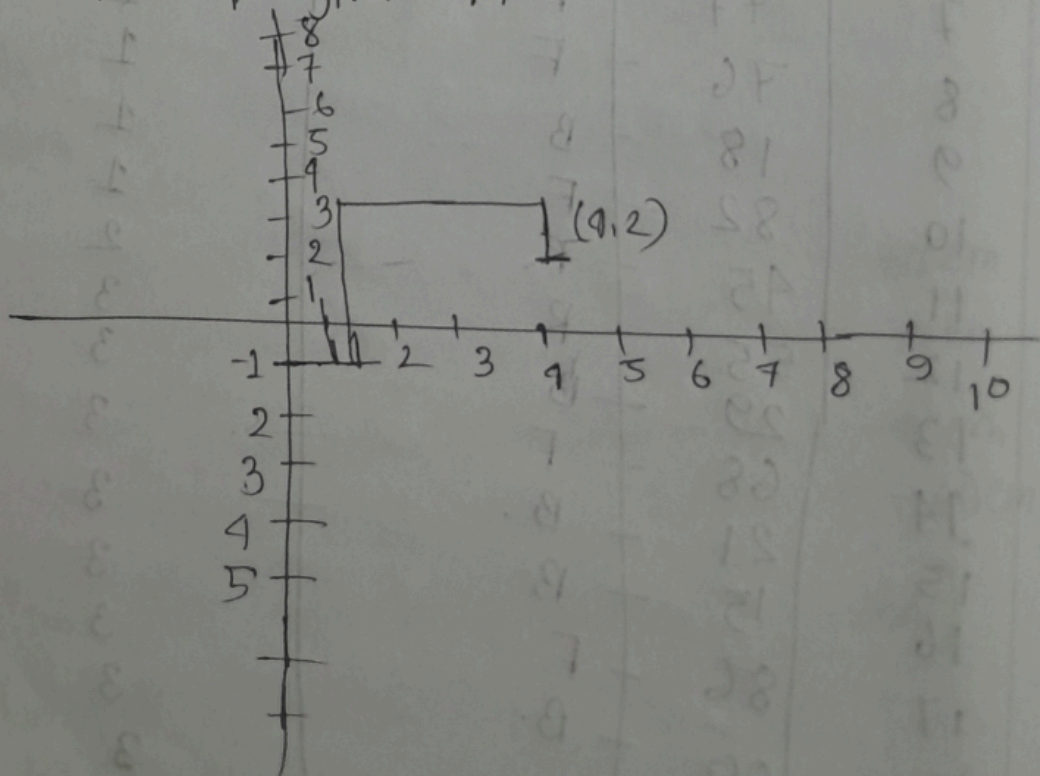
end of 20 steps.

1-1

step	R/N	Direction	Position	
			x	y
1	67	F	0	1
2	23	B	0	0 (1-1)
3	01	B	0	-1
4	05	F	0	0 (-1+)
5	81	F	0	1
6	56	R	1	1
7	77	F	1	2
8	76	F	1	3
9	18	B	1	2 (3-1)
10	82	F	1	3
11	45	R	2	3
12	55	R	3	3
13	29	B	3	2
14	68	F	3	3
15	21	B	3	2
16	15	B	3	1
17	86	F	3	2
18	00	B	3	1
19	89	F	3	2
20	43	R	4	2

when the drunkard takes steps in forward direction, the value of y increased by 1

If drunkard takes steps in backward, the value of y decreased by 1. If drunkard takes steps in left of x decreased by 1. & for right x increased by 1. The simulation for 20 steps is given in table.



Normally Distributed Random Numbers $\rightarrow$

$\rightarrow$ In many real life systems, the outcomes do not spread evenly, instead, they cluster around an average (mean).

Example: marks obtained by student.

Measurement error.

Bomb falling around an aiming point.

$\rightarrow$ A normal distribution Parameters $\rightarrow$.

- mean (μ) $\rightarrow$ center value.

- Standard deviation (σ) $\rightarrow$ spread of data.

A normal random variable is generated using.

$$X = \mu + \sigma Z$$

X = generated value.

μ = mean.

σ = Standard deviation.

Z = Standard normal random numbers (mean = 0, std = 1)

$$Y = \mu + \sigma Z$$

Z = random normal number

Why use Random Normal Number in Simulation

Uniform random numbers $(0-1)$ are not enough when behavior is normal.

→ We use (12 uniform-number-method)

-

→ (Ex-2.7) Application of RNN.

Target Area : Rectangular

→ X-direction = 1000 m.

Y-direction = 600 m.

- center of target = $(0,0)$.

- Bomb aim at the center

- Bomb impacts points are normally distributed.

Standard deviation $\rightarrow \sigma_x = 500 \text{ m}$

$$\sigma_y = 300 \text{ m}$$

A bomb is hit, if it lands inside the rectangle.

$$X = 500 z_x$$

$$Y = 300 z_y$$

z_x, z_y ^{normal} Random number.
mean = 0.

$$x \text{ range} = -500 \text{ to } +500$$

$$y \text{ range} = -300 \text{ to } +300$$

Bomb strike	RNN(z_x)	$X = 500 \times \text{RNN}(z_x)$	RNN(z_y)	$Y = 300 \times \text{RNN}(z_y)$	Rs.
1	1.23	115	0.24	72	Hit
2	-1.16	-580	-0.02	-6	miss
3	0.39	195	0.64	192	Hit
4	-1.90	-950	-1.09	-327	miss
5	-0.78	-390	0.68	204	Hit
6	-0.02	-10	-0.47	-141	Hit
7	-0.40	-200	-0.75	-225	Hit
8	-0.66	-330	-0.44	-132	Hit
9	1.41	705	1.21	363	miss
10	0.07	35	-0.08	-24	Hit
20	-0.21	-105	0.55	165	Hit

Number of Hits = 10

" Miss = 10

% Number of strikes on target = 50%

Book (Ex-6)

Exercise

$$x_1 = 500z_x \quad x^2 + y^2 \leq R^2$$

$$y_1 = 300z_y \quad x^2 + y^2 \leq R^2$$

$R = 500\text{m}$. To hit.

No. of	RNN	x_1	RNN	y_1	$x^2 + y^2 \leq R^2$	Result
1	1.23	115	1.29	72		
2	-1.16	-580	-0.02	-6		
3	0.39	195	0.64	192		
4	-1.90	-950	-1.04	-312		
5	-0.78	-390	0.68	204		
6	-0.02	-10	-0.47	-141		
7	-0.40	-200	-0.75	-225		
8	-0.66	-330	-0.44	-132		
9	1.41	705	1.21	363		
10	0.07	35	-0.08	-24		
11	0.53	265	-1.56	-468		
12	0.03	15	1.49	447		
13	-1.19	-595	-1.19	-357		

Exercise (1) Determine Area of irregular figure -

Here, $\frac{F}{A} = \frac{M}{N}$

Random number between (0-1)

For all cases we will consider $9 \times 9 \text{ cm}^2$ regular shape.

F = Area of irregular
A = Area of square to be considered.

M = Points within shape
N = Total random points.

→ Random Number Table.

$$x_1 = 0.96 \times 9 = 8.64$$

$$x_2 = 0.71 \times 9 = 6.39$$

$$x_3 = 0.03 \times 9 = 0.27$$

$$y_1 = 0.42 \times 9 = 3.78$$

$$y_2 = 0.10 \times 9 = 0.9$$

$$y_3 = 0.30 \times 9 = 2.7$$

$$\text{Area, } F = \frac{26}{84} \times (9 \times 9) = 25.07 \text{ cm}^2.$$

considering ratio of points falling $\frac{M}{N} = 30.95\%$
 $= \frac{26}{84}$